

chapter 4 Adjustments, Financial Statements, and the Closing Process

Financial Accounting 12e

Libby • Libby • Hodge

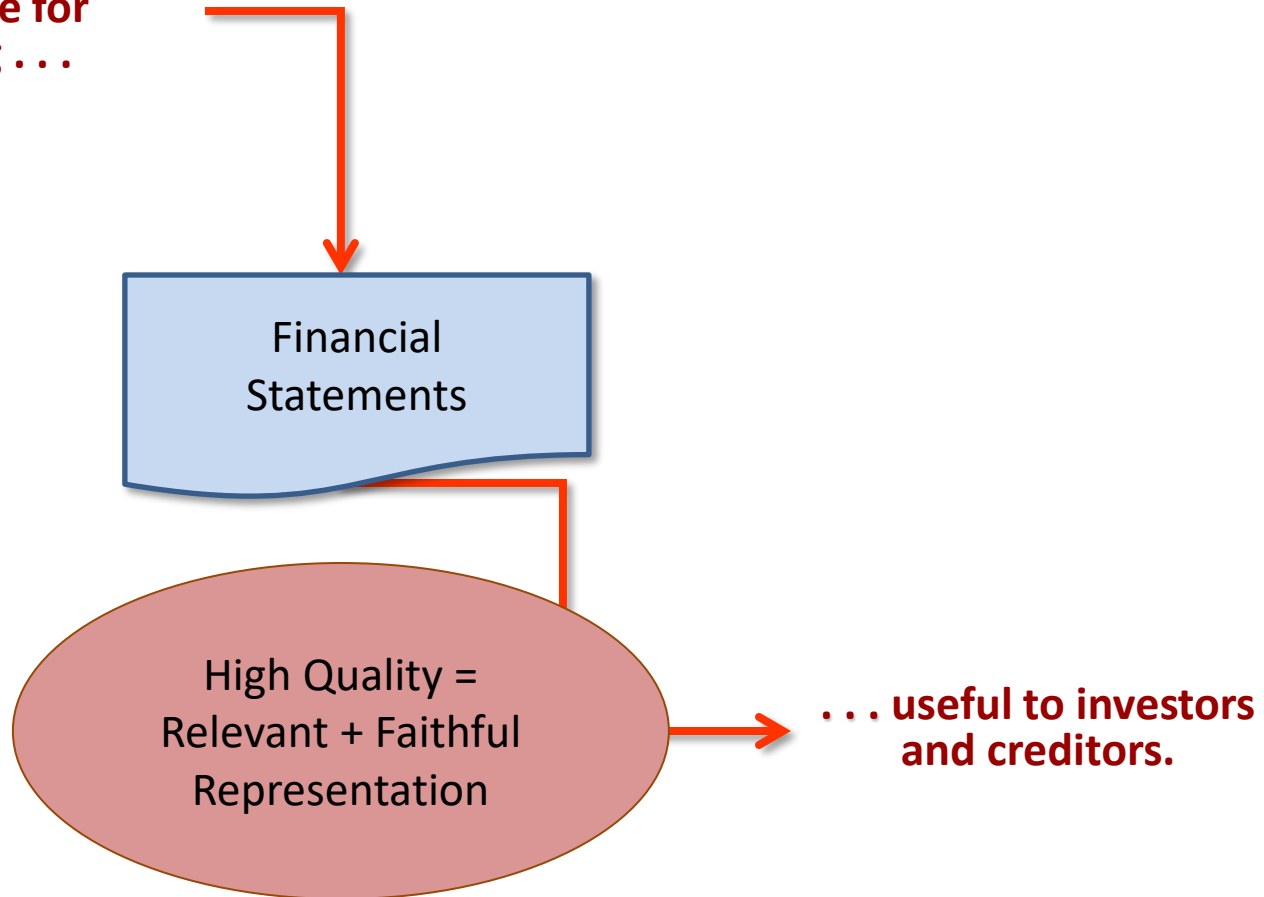
Learning Objectives

After studying this chapter, you should be able to:

- 4-1** Explain the purpose of adjustments and analyze the adjustments necessary at the end of the period to update revenues and expenses and related balance sheet accounts.
- 4-2** Present an income statement with earnings per share, a statement of stockholders' equity, and a balance sheet.
- 4-3** Compute and interpret the total asset turnover ratio.
- 4-4** Explain the closing process.

Understanding the Business

**Management is
responsible for
preparing . . .**

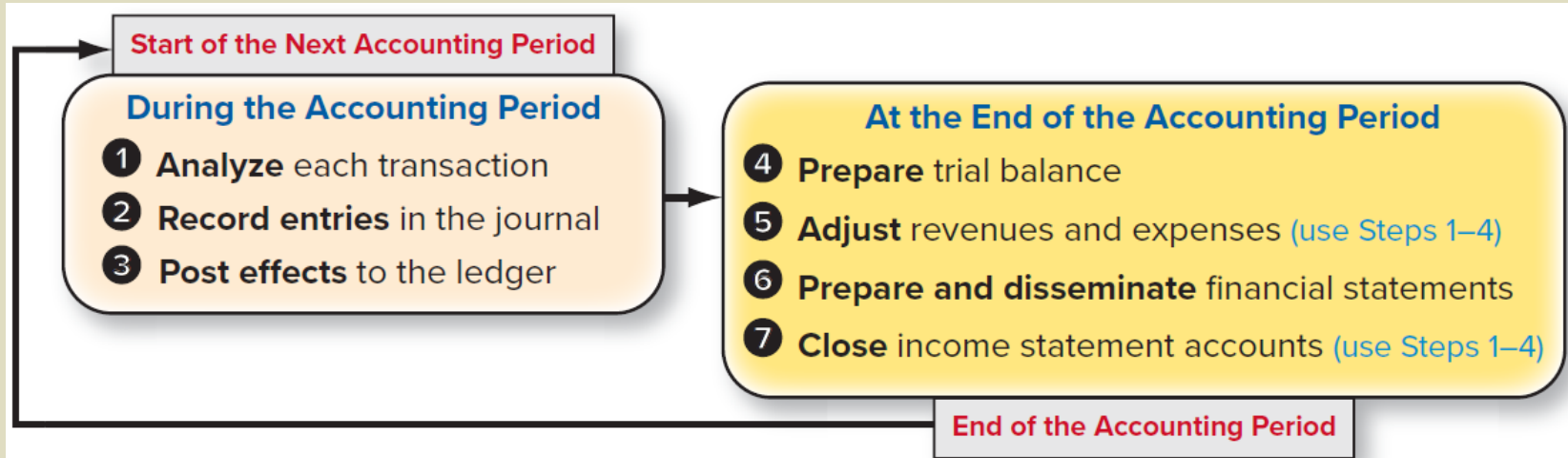


Learning Objective 4-1

- 4-1** Explain the purpose of adjustments and analyze the adjustments necessary at the end of the period to update revenues and expenses and related balance sheet accounts.

Exhibit 4.1

The Accounting Cycle



The Purpose of Adjustments

- Revenues are recorded when they are earned – when goods are delivered and services are provided to customers (the **revenue recognition principle**).
- Expenses are recorded when they are incurred to generate revenue – when costs are used in running the company (the **expense recognition principle**).
- **Assets** are reported at amounts that represent the probable future benefits remaining at the end of the period.
- **Liabilities** are reported at amounts that represent the probable future sacrifices of assets or services owed at the end of the period.



Reminder:

- Revenues and expenses are increased in adjusting entries.
- Cash is never in an adjusting entry.

Companies wait until the end of the accounting period to adjust their accounts because doing so daily or weekly would be very costly and time-consuming.

Adjusting entries are required every time a company prepares financial statements

Exhibit 4.2

Types of Adjustments

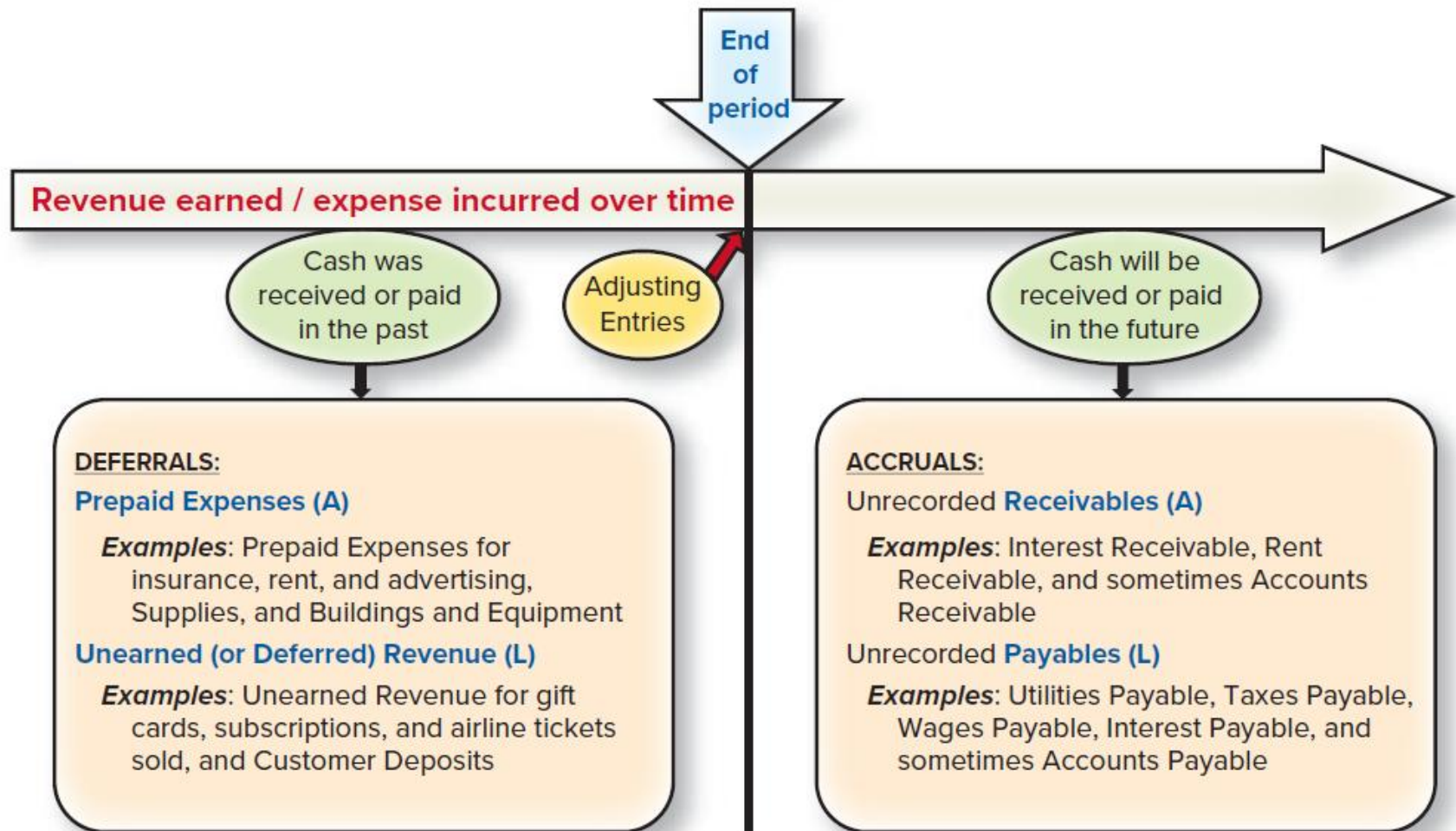


Exhibit 4.3 Adjustment Process (Revenues)

At the end of the accounting period

DEFERRALS

Ask: Was revenue earned that is not yet recorded and . . .

① Cash **was received in the past?**

THEN:

<i>Example:</i>	Debit	Credit
Cash (+A)	xxx	
Unearned ticket revenue (+L)		xxx

AJE Now:

Debit the account recorded when cash was received in the past
Credit the revenue account for what was earned*

<i>Example:</i>	Debit	Credit
Unearned ticket revenue (-L)	xxx	
Ticket revenue (+R, +SE)		xxx

Verify: Does the accounting equation remain in balance and do debits equal credits?

NOTE: Cash is never included in an adjusting entry because either it was recorded in the past or will be recorded in the future.

*Sometimes the amount is given, sometimes it must be calculated, and sometimes it must be estimated.

ACCRUALS

② Cash **will be received in the future?**

Nothing yet recorded

AJE Now:

Debit the account for what is owed to the company
Credit the revenue account for what was earned*

<i>Example:</i>	Debit	Credit
Interest receivable (+A)	xxx	
Interest revenue (+R, +SE)		xxx

Deferred (Unearned) Revenues

- When a customer pays for goods or services before the company delivers them, the company records the amount of cash received in a **deferred (unearned) revenue** account.
- This unearned revenue is a **liability** representing the company's promise to perform or deliver the goods or services in the future.
- By the end of the accounting period, however, if any or all of the obligations have been met, an adjusting entry is needed to update the revenue and liability account balances.

Deferred (Unearned) Revenues AJE 1

AJE 1 Unearned Revenue: Chipotle had an unadjusted balance of \$245 in Unearned Revenue at the end of the quarter, representing gift card purchases by customers in the past. During the quarter, customers redeemed a portion of the gift cards for \$52 in food service.

Was cash received in the past? Yes.

Debit the account recorded when cash was received in the past

Credit the revenue account for what was earned

Reduce Unearned Revenue and increase Restaurant Sales Revenue for \$52.

	Debit	Credit
(AJE 1) Unearned revenue (–L)	52	
Restaurant sales revenue (+R, +SE)		

Tip

TIP

Reminder: The beginning balance in each account is the unadjusted balance from Exhibit 3.7.

Assets	=	Liabilities	+	Stockholders' Equity
		Unearned revenue	–52	Restaurant sales revenue

– Unearned Revenue (L) +		
	245	Bal.
(AJE 1) 52		
	<u>193</u>	

– Restaurant Sales Revenue (R) +		
	1,359	Bal.
	52	(AJE 1)
	<u>1,411</u>	

Accrued Revenues

- Sometimes companies perform services or provide goods (i.e., earn revenue) before customers pay.
- Because cash is owed, the revenue that was earned may not have been recorded.
- At the end of the accounting period an adjusting entry is needed to record revenues that have been earned but have not yet been recorded. These revenues are called **accrued revenues**.

Accrued Revenues AJE 2

AJE 2 Interest on Investments: The short-term investments owned by Chipotle earned \$1 in additional interest revenue for the current quarter, but the cash will be received in the next quarter.

Will cash be received in the future? Yes.

Debit the account for what is owed to the company

Credit the revenue account for what was earned

Increase Interest Receivable and Increase Interest Revenue for \$1.



Tip Interest Receivable is a new account. **When creating a new account title, call it what it is**—This would not be called Notes Receivable, for example.

	Debit	Credit
Interest Receivable (+A)	1	
Interest Revenue (+R, +SE)		1

$$1 = \text{Liabilities} + \text{Stockholders' Equity}$$

$$1 = \text{Interest revenue (+R)} + 1$$

+ Interest Receivable (A) –	
Bal.	0
(AJE 2)	1
	<u>1</u>

– Interest Revenue (R) +	
3	Bal.
1	(AJE 2)
<u>4</u>	

Exhibit 4.3 Adjustment Process (Expenses)

Was an expense incurred that has not yet been recorded and . . .

3 Cash **was paid in the past?**

THEN:

<i>Example:</i>	Debit	Credit
Prepaid rent expense (+A)	xxx	
Cash (−A)		xxx

AJE Now:

Debit the expense account for what was incurred*

Credit the account recorded when cash was paid in the past

<i>Example:</i>	Debit	Credit
Rent expense (+E, −SE)	xxx	
Prepaid rent expense (−A)		xxx

4 Cash **will be paid in the future?**

Nothing yet recorded

AJE Now:

Debit the expense account for what was incurred*

Credit the account for what the company owed

<i>Example:</i>	Debit	Credit
Wages expense (+E, −SE)	xxx	
Wages payable (+L)		xxx

Verify: Does the accounting equation remain in balance and do debits equal credits?

NOTE: Cash is never included in an adjusting entry because either it was recorded in the past or will be recorded in the future.

*Sometimes the amount is given, sometimes it must be calculated, and sometimes it must be estimated.

Deferred Expenses

- Assets represent resources with probable future benefits to the company.
- Many assets are used over time to generate revenues, including supplies, prepaid expenses for insurance, advertising, and rent, and buildings and equipment.
- These assets are **deferred expenses** (that is, recording the expenses for using these assets is deferred until they are used to generate revenues in the future).
- At the end of the accounting period, an adjustment must be made to record the amount of the asset that was used during the period.

Deferred Expenses AJE 3

AJE 3 Supplies: The Supplies account includes food, beverage, and paper products that Chipotle purchased throughout the quarter. At the end of the quarter, the Supplies account has a balance of \$498, but Chipotle counted \$36 of supplies on hand, indicating supplies were used.

Was cash paid in the past? Yes.

Debit the expense account for what was incurred

Credit the account recorded when cash was paid in the past

Increase Supplies Expense and decrease Supplies for \$462

(\$485 available for use – \$23 remaining at the end = \$462 used during quarter).

	Debit	Credit
(AJE 3) Supplies expense (+E, –SE)	462	
Supplies (–A)		462

Assets	=	Liabilities	+	Stockholders' Equity
Interest receivable +1				Interest revenue (+R) +1

+ Supplies (A) –			
Bal.	498		
		462	(AJE 3)
	<u>36</u>		

+ Supplies Expense (E) –			
Bal.	0		
(AJE 3)	462		
	<u>462</u>		

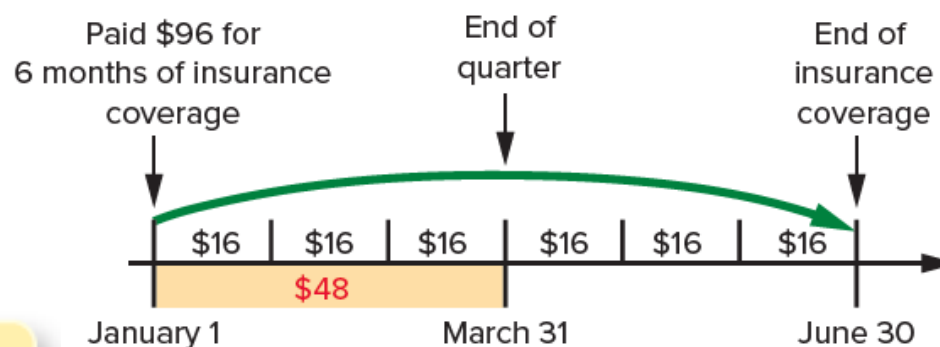
Deferred Expenses AJE 4 (1 of 2)

AJE 4 Prepaid Expenses: The Prepaid Expenses unadjusted account balance of \$324 includes:

- \$128 paid at the end of last quarter for rental of facilities at \$32 per month,
- \$96 for insurance coverage for six months beginning January 1, 2020, and
- \$41 for advertising during the quarter.

By the end of the quarter, each of these prepaid expenses has been used for **three months**.

Rent expense:	$\$32 \text{ per month} \times 3 \text{ months} =$	\$ 96
Insurance expense:	$\$96 \text{ prepaid} \times (3 \text{ out of } 6 \text{ months of coverage}) =$	48
Advertising expense:	$\$41 \text{ all used during the quarter} =$	<u>41</u>
Total prepaid expenses used during the quarter		<u><u>\$185</u></u>



Tip

Draw a timeline when you need to visualize the number of months, and so on, for computations.

$\$96 / 6 \text{ months} = \16 per month
 $\times 3 \text{ months} = \$48 \text{ insurance used in first quarter}$

Deferred Expenses AJE 4 (2 of 2)

Was cash paid in the past? Yes.

Debit the expense account for what was incurred

Credit the account recorded when cash was paid in the past

Increase the appropriate expense accounts and decrease Prepaid Expenses

	Debit	Credit
(AJE 4) Rent expense (+E, -SE)	96	
Insurance expense (+E, -SE)	48	
Advertising expense (+E, -SE)	41	
Prepaid expenses (-A)		185

Assets		=	Liabilities	+	Stockholders' Equity	
Prepaid expenses	-185				Rent expense (+E)	-96
					Insurance expense (+E)	-48
					Advertising expense (+E)	-41

+ Prepaid Expenses (A) -	
Bal.	324
	185 (AJE 4)
	<u>139</u>

+ Rent Expense (E) -	
Bal.	0
(AJE 4)	96
	<u>96</u>

+ Insurance Expense (E) -	
Bal.	0
(AJE 4)	48
	<u>48</u>

+ Advertising Expense (E) -	
Bal.	0
(AJE 4)	41
	<u>41</u>

Depreciation

- Buildings and Equipment accounts are listed at **cost**. These assets are **used** over time to generate revenue. Their cost should be recorded as an expense in the same period.
- **Depreciation is an allocation of the cost of buildings and equipment (not land) over their estimated useful lives to the organization.**
- Depreciation is recorded in a contra-asset account called **Accumulated Depreciation**. Accumulated Depreciation increases with depreciation expense for the period and decreases with asset disposals for the portion used in prior periods.
- On the balance sheet, the amount that is reported for equipment is its **net book value** (also called the **book value**). Net book value = the ending balance in equipment accounts minus the ending balance in Accumulated Depreciation account.

Tip

When we say that something is “net,” we mean that **two accounts or totals have been subtracted**. For example, Net Income is the result of subtracting expenses from revenues. You will see this term used throughout the text.

COST		USED COST		UNUSED COST = NET BOOK VALUE	
+ Property and Equipment (A) –		– Accumulated Depreciation (XA) +			
Beg. Bal.			Beg. Bal.	Amount reported on the balance sheet	
Asset purchases (at cost)	Asset disposals (at cost)	Asset disposals (for assets' used cost)	Depreciation expense (used in current period)		
<u>End. Bal.</u>			<u>End. Bal.</u>		

Contra-Accounts

- Contra-accounts are accounts that are **directly linked to another account or financial statement section, but with an opposite balance.**
 - For Buildings and Equipment, the contra-account for the total cost used to date is called **Accumulated Depreciation**. Accumulated Depreciation increases with the amount of depreciation expense for the period and decreases when an asset is sold for the portion used in prior periods. Because assets have debit balances, Accumulated Depreciation has a credit balance.
 - **Treasury Stock** is also a contra-account and reduces stockholders' equity.
- We will designate contra-accounts with an X in front of the type of account to which it is related.
 - Accumulated Depreciation account will be shown as (XA).
 - Treasury Stock account will be shown (XSE).



Treasury Stock is also a contra-account and reduces stockholders' equity. This and **Accumulated Depreciation** are the first two of several **contra-accounts** you will learn throughout the text.

Deferred Expenses AJE 5

AJE 5 Buildings and Equipment: Assume Chipotle estimates depreciation for the year. For the quarter, depreciation expense would be **\$58** ($\$232 \times \frac{1}{4}$)

Tip

Land does not depreciate in an accounting sense: Buildings and equipment wear away and will need to be replaced at some time in the future, but land will not.

Was cash paid in the past? Yes.

Debit the expense account for what was incurred

Credit the account recorded when cash was paid in the past

Increase Depreciation Expense and increase Accumulated Depreciation

	Debit	Credit
(AJE 5) Depreciation expense (+E, -SE)	58	
Accumulated depreciation (+XA, -A)		58

Assets	=	Liabilities	+	Stockholders' Equity
Accumulated depreciation (+XA) -58				Depreciation expense (+E) -58

+ Depreciation Expense (E) -	
Bal.	0
(AJE 5)	58
	<u>58</u>

- Accumulated Depreciation (XA) +	
1,982	Bal.
58	(AJE 5)
<u>2,040</u>	

Accrued Expenses

Numerous expenses are incurred in the current period without being paid until the next period.

Common examples include:

- Wages Expense for the wages owed to employees who worked during the period
- Interest Expense incurred on debt owed during the period
- Utilities Expense for the water, gas, and electricity used during the period

These **accrued expenses** accumulate (accrue) over time but are not recognized as expenses until the end of the period in an adjusting entry.

Accrued Expenses AJE 6

AJE 6 Buildings and Equipment: Assume that Chipotle's employees worked two days at the end of the quarter, earning \$26 per day, but they will not be paid until next quarter.

Will cash be paid in the future? Yes.

Debit the expense account for what was incurred

Credit the account for what the company owes

Increase Wages Expense and Increase Wages Payable for \$52 ($\$26 \times 2 \text{ days}$).

	Debit	Credit
(AJE 6) Wages expense (+E, -SE)	52	
Wages payable (+L)		52

Assets	=	Liabilities	+	Stockholders' Equity
		Wages payable	+52	Wages expense (+E) -52

+ Wages Expense (E) -	
Bal.	342
(AJE 6)	52
	<u>394</u>

- Wages Payable (L) +	
180	Bal.
52	(AJE 6)
<u>232</u>	

Accrued Expenses AJE 7

AJE 7 Interest on Debt: Chipotle had a principal balance of \$151 in long-term notes payable at the end of the current quarter. The annual interest (2.65%) will be paid in the future.

Will cash be paid in the future? Yes.

Debit the expense account for what was incurred

Credit the account for what the company owes

Increase Interest Expense and Increase Interest Payable

Interest Formula:

$$\text{Principal} \times \text{Annual Interest Rate} \times \frac{\text{Time: \# of months}}{12 \text{ months}} = \text{Interest for the Period}$$

$$\$151 \times 0.0265 \times 3/12 = \$1 \text{ (rounded)}$$

	Debit	Credit
(AJE 7) Interest expense (+E, -SE)	1	
Interest payable (+L)		1

Tip

Two important points:

- The interest rate we give you will always be the **annual rate**.
- In short, the formula is:
 $P \times R \times T/12$
P is principal.
R is annual interest rate.
T/12 is time—the number of months out of 12 since the last accrual.

Assets	=	Liabilities	+	Stockholders' Equity
		Interest payable	+1	Interest expense (+E) -1

+ Interest Expense (E) -	
Bal.	0
(AJE 7)	1
	<u>1</u>

- Interest Payable (L) +	
	0
	1
	<u>1</u>

Accrued Expenses AJE 8

AJE 8 Utilities: Chipotle received a utility bill for \$15 for usage during the quarter. The bill will be paid next quarter.

Will cash be paid in the future? Yes.

Debit the expense account for what was incurred

Credit the account for what the company owes

Increase Utilities Expense and Increase Utilities Payable for \$15

	Debit	Credit
(AJE 8) Utilities expense (+E, –SE)	15	
Utilities payable (+L)		15

Assets	=	Liabilities	+	Stockholders' Equity
		Utilities payable	+15	Utilities expense (+E) –15

+ Utilities Expense (E) –	
Bal.	117
(AJE 8)	15
	<u>132</u>

– Utilities Payable (L) +	
123	Bal.
15	(AJE 8)
<u>138</u>	

Accrued Expenses – Calculation of Income Tax Expense

The final adjusting entry is to record the accrual of income taxes that will be paid in the next quarter. This requires computing adjusted pretax income and applying the appropriate tax rate:

	Revenues and Gains	–	Expenses and Losses	
Summary from Exhibit 3.8	\$1,362		\$ 568	
<i>AJE 1</i>	52			
<i>AJE 2</i>	1			
<i>AJE 3</i>			462	
<i>AJE 4</i>			185	
<i>AJE 5</i>			58	
<i>AJE 6</i>			52	
<i>AJE 7</i>			1	
<i>AJE 8</i>			15	
	<u>\$ 1,415</u>	–	<u>\$1,341</u>	= <u>\$74 Pretax Income</u>

Then, compute income tax expense. Assume Chipotle estimated a tax rate of 20.0 percent for the quarter, with the taxes due next quarter.

Pretax income	×	Income tax rate	=	Income tax expense
\$74	×	0.20	=	\$15 for the quarter (rounded to the nearest dollar—which is in millions)

Accrued Expenses AJE 9

AJE 9 Income Taxes: The final adjusting entry is to record the accrual of \$15 of income taxes that will be paid in the next quarter.



There are many other kinds of taxes companies pay.

Examples:

Sales taxes, property taxes, payroll taxes, and state and local income taxes.

Will cash be paid in the future? Yes.

Debit the expense account for what was incurred

Credit the account for what the company owes

Increase Income Tax Expense and Increase Income Taxes Payable for \$15

	Debit	Credit
(AJE 9) Income tax expense (+E, -SE)	15	
Income taxes payable (+L)		15

Assets	=	Liabilities	+	Stockholders' Equity
		Income taxes payable +15		Income tax expense (+E) -15

+ Income Tax Expense (E) -	
Bal.	0
(AJE 9)	15
	<u>15</u>

- Income Taxes Payable (L) +	
	0
	15
	<u>15</u>

In Summary (1 of 3)

- You may have noticed that **the Cash account was never adjusted**. The cash has already been received or paid by the end of the period, or it will be received or paid in the next period.
- Adjustments are required to **record revenues and expenses in the proper period** because the cash part of the transaction is at a different point in time.
- In addition, **each adjusting entry always included at least one income statement account and at least one balance sheet account**.

In Summary (2 of 3)

Adjustments are necessary at the **end of the accounting cycle** to record all revenues and expenses in the proper period and to reflect the proper valuation for assets and liabilities.

- **Deferred revenues** (liabilities) have balances at the end of the period because cash was received before it was earned. If all or part of the liability has been satisfied by the end of the period, revenue needs to be recorded and the liability reduced.
- **Accrued revenue** adjustments are necessary when the company has earned revenue but the cash will be received in the next period. Because nothing has been recorded yet, revenue needs to be recognized and an asset (a receivable) increased.
- **Deferred expenses** (assets) have balances at the end of the period because cash was paid in the past by the company for the assets. If all or part of the asset has been used to generate revenues in the period, an expense needs to be recorded and the asset reduced.
- **Accrued expense** adjustments are necessary when the company has incurred an expense but the cash will be paid in the next period. Because nothing has been recorded yet, an expense needs to be recognized and a liability (a payable) increased.

In Summary (3 of 3)

Adjustments are necessary at the **end of the accounting cycle** to record all revenues and expenses in the proper period and to reflect the proper valuation for assets and liabilities.

Ask

- 1) Was revenue earned that is not yet recorded and cash was received in the past—a Deferred Revenue? **Increase revenue; decrease liability**
- 2) Was revenue earned that is not yet recorded and cash will be received in the future—an Accrued Revenue? **Increase revenue; increase asset (a receivable)**
- 3) Was an expense incurred that has not yet been recorded and cash was paid in the past—a Deferred Expense? **Increase expense; decrease asset**
- 4) Was an expense incurred that has not yet been recorded and cash will be paid in the future— an Accrued Expense? **Increase expense; increase liability (a payable)**



If the financial performance and condition of the company appear strong, the company's stock price rises.

- Shareholders often receive dividends and increase their investment value.
- Managers may receive bonuses and options to buy their company's stock at prices below market value.

When actual performance lags behind expectations, managers and owners may **manipulate accruals and deferrals** to make up the difference. They might:

- record cash received as revenue before it is earned or
- fail to accrue expenses at year-end.

News of an SEC investigation into these allegations can negatively affect the company's stock price.

Learning Objective 4-2

4-2 Present an income statement with earnings per share, a statement of stockholders' equity, and a balance sheet.

Exhibit 4.4 (1 of 2)

Interrelationships of Financial Statements

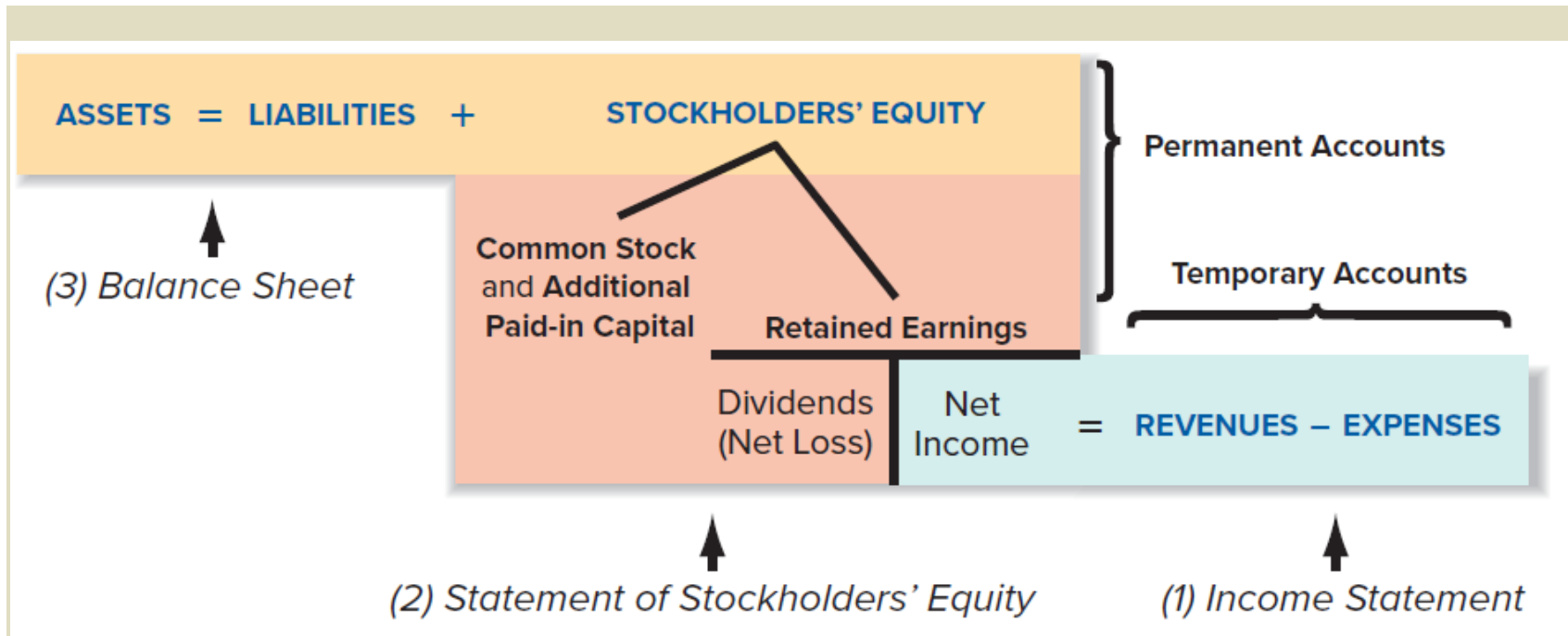


Exhibit 4.4 (2 of 2)

Interrelationships of Financial Statements

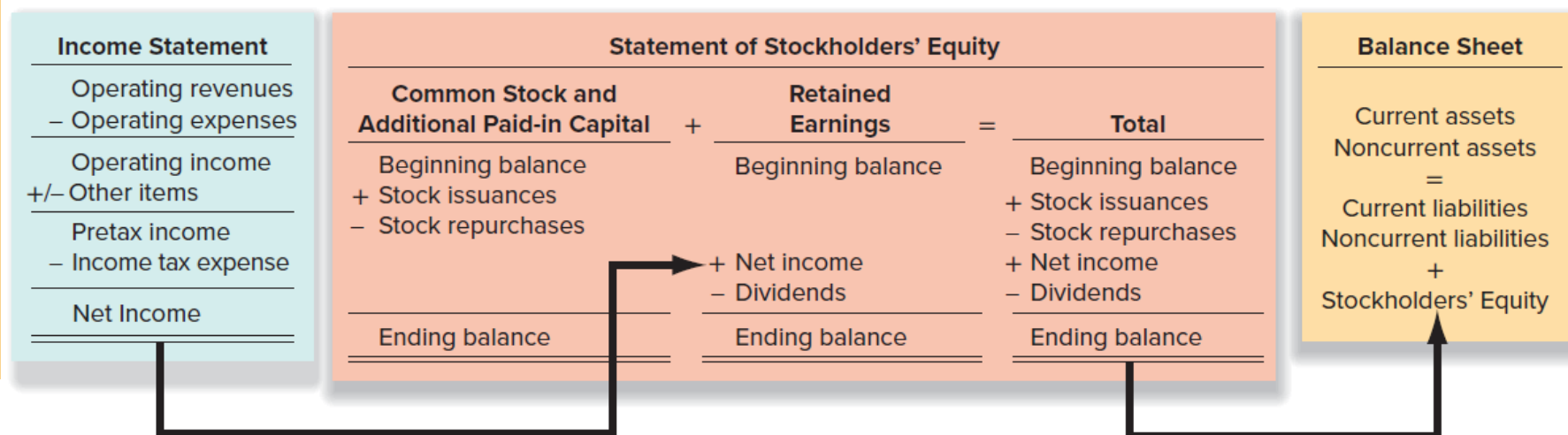


Exhibit 4.5

Trial Balance Spreadsheet

	A	B	C	D	E	F	G	H	I
1		CHIPOTLE MEXICAN GRILL							
2		Trial Balance Spreadsheet							
3		At March 31, 2024							
4									
5		(in millions of dollars)	UNADJUSTED		ADJUSTMENTS		ADJUSTED		
6			Debit	Credit		Debit	Credit	Debit	Credit
7		Cash	580					580	
8		Short-term investments	716					716	
9		Accounts receivable	152					152	
10		Interest receivable	-		(AJE 2)	1		1	
11		Supplies	498		(AJE 3)		462	36	
12		Prepaid expenses	324		(AJE 4)		185	139	
13		Land	12					12	
14		Buildings	2,798					2,798	
15		Equipment	1,407					1,407	
16		Accumulated depreciation		1,982	(AJE 5)		58		2,040
17		Long-term investments	564					564	
18		Operating lease assets	3,665					3,665	
19		Intangible assets	115					115	
20		Accounts payable		212					212
21		Unearned revenue		245	(AJE 1)	52			193
22		Wages payable		180	(AJE 6)		52		232
23		Utilities payable		123	(AJE 8)		15		138
24		Interest payable		-	(AJE 7)		1		1
25		Income taxes payable			(AJE 9)		15		15
26		Dividends payable		2					2
27		Current operating lease liabilities		254					254
28		Notes payable		151					151
29		Long-term operating lease liabilities		3,914					3,914
30		Common stock		2					2
31		Additional paid-in capital		1,972					1,972
32		Treasury stock	5,048					5,048	
33		Retained earnings		6,048					6,048
34		Restaurant sales revenue		1,359	(AJE 1)		52		1,411
35		Interest revenue		3	(AJE 2)		1		4
36		Supplies expense	-		(AJE 3)	462		462	
37		Wages expense	342		(AJE 6)	52		394	
38		Utilities expense	117		(AJE 8)	15		132	
39		Rent expense	-		(AJE 4)	96		96	
40		Insurance expense	-		(AJE 4)	48		48	
41		Advertising expense	-		(AJE 4)	41		41	
42		Repairs expense	35					35	
43		Training expense	65					65	
44		Depreciation expense	-		(AJE 5)	58		58	
45		Loss on disposal of assets	9					9	
46		Interest expense	-		(AJE 7)	1		1	
47		Income tax expense	-		(AJE 9)	15		15	
48		Total	16,447	16,447		841	841	16,589	16,589
49									
50		*Based on hypothetical transactions for the first quarter ended March 31, 2024,							
51									

NOTE: Cash did not change because cash is never adjusted.

For each account, add and/or subtract across the row:
245 credit – 52 debit = 193 credit.

Retained Earnings does not yet include the net income effects. It will after the closing process.

Debits = Credits!

Income Statement

CHIPOTLE MEXICAN GRILL, INC. Consolidated Statement of Income* For the Quarter Ended March 31, 2024 (in millions of dollars, except per share data)	
Restaurant sales revenue	\$ 1,411
Restaurant operating expenses:	
Supplies expense	462
Wages expense	394
Rent expense	96
Insurance expense	48
Utilities expense	132
Repairs expense	35
General and administrative expenses:	
Training expense	65
Advertising expense	41
Depreciation expense	58
Loss on disposal of assets	9
Total operating expenses	<u>1,340</u>
Income from operations	71
Other items:	
Interest revenue	4
Interest expense	<u>(1)</u>
Income before income taxes	74
Income tax expense	<u>15</u>
Net income	<u>\$ 59</u>
Earnings per share (for the quarter)	<u><u>\$ 0.39</u></u>
*Based on hypothetical transactions in Chapters 2, 3, and 4.	

Earnings per Share

- The earnings per share (EPS) ratio is reported on the income statement.
- It is widely used in evaluating the operating performance and profitability of a company.
- It is the only ratio required to be disclosed on the statement or in the notes to the statement.

$$\text{Earnings per Share} = \frac{\text{Net Income}}{\text{Weighted average number of shares outstanding}}$$

The quarterly EPS for Apple in our illustration was \$39 per share:

$$\text{EPS} = \frac{\text{Net income for the quarter}}{\text{Average number of shares outstanding}} = \$39 \text{ for the quarter}$$

The actual computation of EPS is quite complex. In this example we simplify the earnings per share computation.

Statement of Stockholders' Equity

CHIPOTLE MEXICAN GRILL, INC.
Consolidated Statement of Stockholders' Equity*
For the Quarter Ended March 31, 2024
(in millions of dollars)

	Common Stock	Additional Paid-in Capital	Treasury Stock	Retained Earnings	Total Stockholders' Equity
Balance on December 31, 2023	\$ 1	\$1,956	\$(4,945)	\$6,050	\$3,062
Additional stock issuance	1	16			17
Stock repurchase			(103)		(103)
Net income				59	59
Dividends declared				(2)	(2)
Balance on March 31, 2024	<u>\$ 2</u>	<u>\$1,972</u>	<u>\$(5,048)</u>	<u>\$6,107</u>	<u>\$3,033</u>

*Based on hypothetical transactions in Chapter 2, 3, and 4.

From transaction
(a) in Ch. 2

From transaction
(g) in Ch. 2

From the income
statement

From transaction
(h) in Ch. 2

Totals are on the
balance sheet

Balance Sheet

CHIPOTLE MEXICAN GRILL, INC. Consolidated Balance Sheets* (in millions of dollars, except per share data)		
	March 31, 2024	December 31, 2023
ASSETS		
Current Assets:		
Cash	\$ 580	\$ 561
Short-term investments	716	735
Accounts receivable	152	169
Interest receivable	1	-
Supplies	36	39
Prepaid expenses	139	117
Total current assets	1,624	1,621
Property and Equipment:		
Land	12	13
Buildings	2,798	2,758
Equipment	1,407	1,381
Total cost	4,217	4,152
Accumulated depreciation	(2,040)	(1,982)
Net property and equipment	2,177	2,170
Long-term investments	564	564
Operating lease assets	3,665	3,579
Intangible assets	115	110
Total assets	<u>\$8,145</u>	<u>\$8,044</u>
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current Liabilities:		
Accounts payable	\$ 212	\$ 198
Unearned revenue	193	210
Accrued expenses payable:		
Wages payable	232	227
Utilities payable	138	148
Interest payable	1	-
Income taxes payable	15	-
Dividends payable	2	-
Current operating lease liabilities	254	248
Total current liabilities	1,047	1,031
Notes payable	151	148
Long-term operating lease liabilities	3,914	3,803
Total liabilities	5,112	4,982
Stockholders' Equity:		
Common stock (\$0.01 par value per share)	2	1
Additional paid-in capital	1,972	1,956
Treasury stock	(5,048)	(4,945)
Retained earnings	6,107	6,050
Total stockholders' equity	3,033	3,062
Total liabilities and stockholders' equity	<u>\$8,145</u>	<u>\$8,044</u>

Cash Flows from Operations, Net Income, and the Quality of Earnings



FOCUS ON CASH FLOWS

- The statement of cash flows explains the difference between the ending and beginning balances in the Cash account on the balance sheet.
- The statement is a categorized list of all transactions of the period that affected the Cash account.
- The three categories are operating, investing, and financing activities.

Useful Warning Sign:

What if there is a significant difference between cash flow from operations and net income?

Analysts look for **unusual accruals and deferrals** when they attempt to estimate the quality of future period earnings.

This could signal the existence of unusual

- 1) Deferrals
 - 2) Accruals
- and other unusual transactions

Some users consider earnings of higher quality when the ratio of cash flows from operations divided by net income is greater.

Learning Objective 4-3

4-3 Compute and interpret the total asset turnover

Total Asset Turnover Ratio



KEY RATIO ANALYSIS

How efficient is management in using its resources to generate sales?

The higher the asset turnover, the more efficient assets are being utilized to generate revenues.

$$\text{Total Asset Turnover Ratio} = \frac{\text{Net Sales (or Operating Revenues)}}{\text{Average Total Assets}^*}$$

*Average computed as: $(\text{Beginning balance} + \text{Ending balance}) \div 2$

The SEC Uses Data Analytics

DATA ANALYTICS



The U.S. Securities and Exchange Commission formed the Financial Reporting and Audit Task Force (now called the **FRAud Group**)

The **FRAud Group** concentrates on detecting fraud and prosecuting corporations and individuals for violations involving false or misleading financial statements and disclosures

The SEC uses data analytics to build a proactive enforcement program.

The **FRAud Group** relies on statistical modeling and other data tools to detect differences and potential fraud

The **Earnings Per Share Initiative** uses risk-based data analytics to uncover earnings management practices designed to hide week performance.

Learning Objective 4-4

4-4 Explain the closing process.

Closing the Books

After the financial statements are prepared and disseminated to users, a **closing process** is needed as the last step in the accounting cycle to mark the end of the current period and the beginning of the next.

The final step in the accounting cycle is **closing the books**.

The **closing entry** has two purposes:

1. To transfer the balances in the temporary accounts (income statement accounts) to Retained Earnings.
2. To establish a zero balance in each of the temporary accounts to start the next period.



Quick Closing Entry Tip:

- Revenue and gain accounts (R) are debited.
- Expense and loss accounts (E) are credited.
- **Retained Earnings** is credited if there is net income ($R > E$) or debited if there is net loss ($R < E$) for the difference:
 $R - E = \text{net income or net loss.}$

- *The closing entry is dated the last day of the accounting period and is posted to the ledger (or T-accounts).*
- ***The income statement (temporary) accounts with debit balances are credited and the income statement (temporary) accounts with credit balances are debited.***
- *The net amount, equal to net income, affects Retained Earnings.*

Closing Entries (1 of 3)

Adjusted Trial Balance		
	Debit	Credit
(All assets)	3,310	
(All liabilities)		2,200
Common stock		20
Additional paid in capital		200
Retained earnings		800
Service revenue		180
Interest revenue		10
Wages expense	60	
Supplies expense	30	
Loss on sale of assets	10	
Total	3,410	3,410

Temporary
accounts
to be
closed

Selected T-accounts

– Service Revenue (R) +		– Interest Revenue (R) +	
	180 Adj. Bal.		10 Adj. Bal.
(CE) 180		(CE) 10	
	<u>0</u>		<u>0</u>
+ Wages Expense (E) –		+ Supplies Expense (E) –	
Adj. Bal. 60		Adj. Bal. 30	
	60 (CE)		30 (CE)
	<u>0</u>		<u>0</u>
+ Loss on Sale of Assets (E) –		– Retained Earnings (SE) +	
Adj. Bal. 10			800 Adj. Bal.
	10 (CE)		90 (CE)
	<u>0</u>		<u>890</u>

The closing entry (labeled CE, for short) is as follows:

	Debit	Credit
(CE) Service revenue (–R, –SE)	180	
Interest revenue (–R, –SE)	10	
Wages expense (–E, +SE)		60
Supplies expense (–E, +SE)		30
Loss on sale of assets (–E, +SE)		10
Retained earnings (+SE)		90

= \$190 in revenues – \$100 in expenses

Closing Entries Chipotle March 31, 2020

	Debit	Credit
(CE) Restaurant sales revenue (−R, −SE)	1,411	
Interest revenue (−R, −SE)	4	
Supplies expense (−E, +SE)		462
Wages expense (−E, +SE)		394
Utilities expense (−E, +SE)		132
Rent expense (−E, +SE)		96
Insurance expense (−E, +SE)		48
		41
		35
		65
		58
		9
		1
		15
		59

Tip

Most companies use computerized accounting applications (from desktop to cloud-based packages) to record journal entries, produce trial balances and financial statements, and close the books. As an example, for small- to medium-sized businesses, QuickBooks® is a popular accounting software package that offers advanced and cloud capabilities.

T-Accounts
Chipotle
March 31,
2024
(after closing
entries)

Beginning balances are from the adjusted trial balance in Exhibit 4.5:

– Restaurant Sales Revenue (R) +			
	1,411	Bal.	
(CE)	1,411		
	<u>0</u>		

– Interest Revenue (R) +			
	4	Bal.	
(CE)	4		
	<u>0</u>		

+ Supplies Expense (E) –			
Bal.	462		
		462	(CE)
	<u>0</u>		

+ Wages Expense (E) –			
Bal.	394		
		394	(CE)
	<u>0</u>		

+ Utilities Expense (E) –			
Bal.	132		
		132	(CE)
	<u>0</u>		

+ Rent Expense (E) –			
Bal.	96		
		96	(CE)
	<u>0</u>		

+ Insurance Expense (E) –			
Bal.	48		
		48	(CE)
	<u>0</u>		

+ Advertising Expense (E) –			
Bal.	41		
		41	(CE)
	<u>0</u>		

+ Repairs Expense (E) –			
Bal.	35		
		35	(CE)
	<u>0</u>		

+ Training Expense (E) –			
Bal.	65		
		65	(CE)
	<u>0</u>		

+ Depreciation Expense (E) –			
Bal.	58		
		58	(CE)
	<u>0</u>		

+ Loss on Disposal of Assets (E) –			
Bal.	9		
		9	(CE)
	<u>0</u>		

+ Interest Expense (E) –			
Bal.	1		
		1	(CE)
	<u>0</u>		

+ Income Tax Expense (E) –			
Bal.	15		
		15	(CE)
	<u>0</u>		

– Retained Earnings (SE) +			
	6,048	Bal.	
	59		(CE)
	<u>6,107</u>		

The balance is now up-to-date and
matches the balance sheet!

Post-Closing Trial Balance

- ☐ As an additional step of the accounting information processing cycle, a post-closing trial balance should be prepared as a check that debits still equal credits and that all temporary accounts have been closed.
- ☐ After the closing process is complete, all income statement accounts have a zero balance.
- ☐ The ending balance in Retained Earnings now is up-to-date (matches the amount on the balance sheet) and is carried forward as the beginning balance for the next period.
- ☐ The accounting cycle for the period is now complete.